

THE PHANTOM BARRELS

How stockpiling inflated China's apparent oil demand, 2022 to July 2026, and what the Hormuz shutdown revealed

China cut crude imports from 11.7 mb/d in February 2026 to 7.8 mb/d in May, a decade low, with no domestic fuel crisis [1,2]. That outcome is only consistent with one reading of the prior three years: a large share of China's headline import demand was inventory accumulation, not consumption. Real transport-fuel demand peaked in 2023 and declined thereafter [7,8,10]. Implied stock builds of roughly 0.75 to 1.1 mb/d in 2025 accounted for effectively all marginal import growth [4,5]. Total crude stocks reached an estimated 1.2 to 1.4 billion barrels by end-2025 [4,5,6]. The buildup accelerated in step with Project 2025's publication, the 2024 US election, and China's Energy Law, and it is the primary reason Brent held near \$100 through the largest supply disruption in oil-market history [1,2,3].

1. The wedge

Figure 1 reconstructs the balance. Apparent crude demand is imports plus domestic output. Estimated true consumption subtracts implied stock change. The gap between the curves is the stockpile build. The wedge widens from 2024, peaks in late 2025 (the November 1.88 mb/d storage surplus [11]), and inverts after February 28, 2026, when the war begins and China starts running on stored barrels.

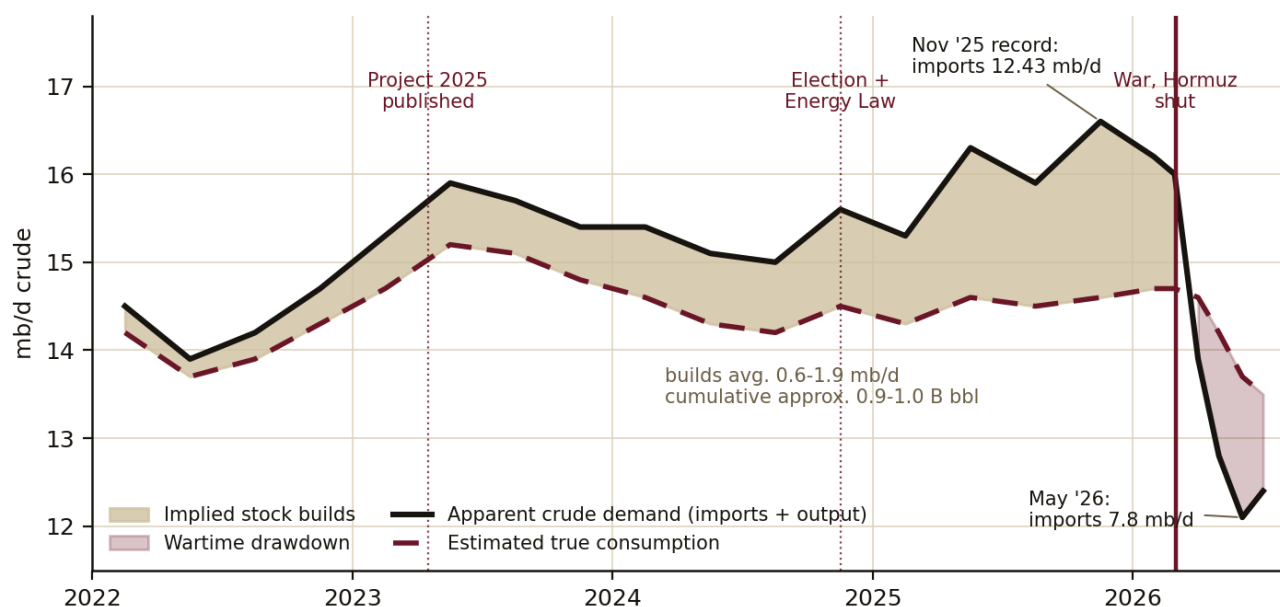


Figure 1. China apparent crude demand vs. estimated true consumption, quarterly reconstruction. Anchors: GAC customs and NBS via [1,2,11]; build estimates [4,5]. Series are reconstructions, not official data.

2. Real consumption peaked before imports did

Combined gasoline, diesel and jet demand fell in 2024 to about 8.1 mb/d, 2.5% below 2021 and barely above 2019 [7]. Apparent diesel demand dropped from 4.7 mb/d in April 2023 to 4.0 mb/d in April 2025 [8]. Gasoline demand fell 14% year over year in August 2024 [10]. Refinery runs fell 3.3% in 2024 [12]. Sinopec and CNPC research institutes both date the transport-fuel peak to 2023 [13]. Petrochemical feedstock was the only growing segment, up about 5% in 2024 [7].

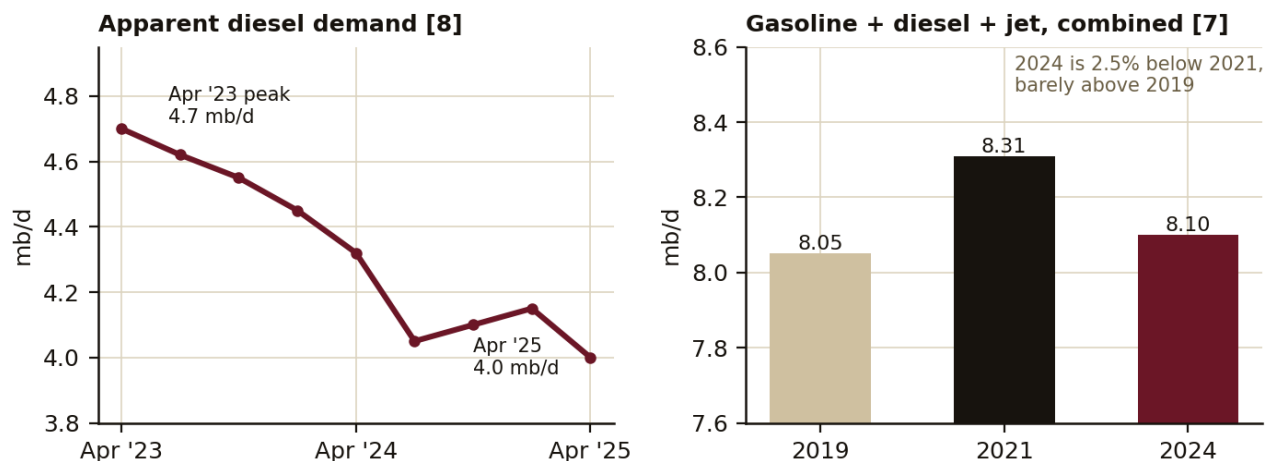


Figure 2. Left: apparent diesel demand [8]. Right: combined transport fuels by year [7].

The decline is structural, not cyclical. NEVs reached roughly half of new car sales by 2025; LNG trucks went from 9% of heavy-duty sales in 2022 to 42% by 2024; high-speed rail and metro expansion displaced road and air fuel [7,9]. The IEA estimates substitution avoided about 1.2 mb/d of demand between 2019 and 2024 [7]. GDP growth of about 4 to 4.7% [10] ran well below the pre-2020 trend, and the property slump removed the largest single driver of diesel use [9].

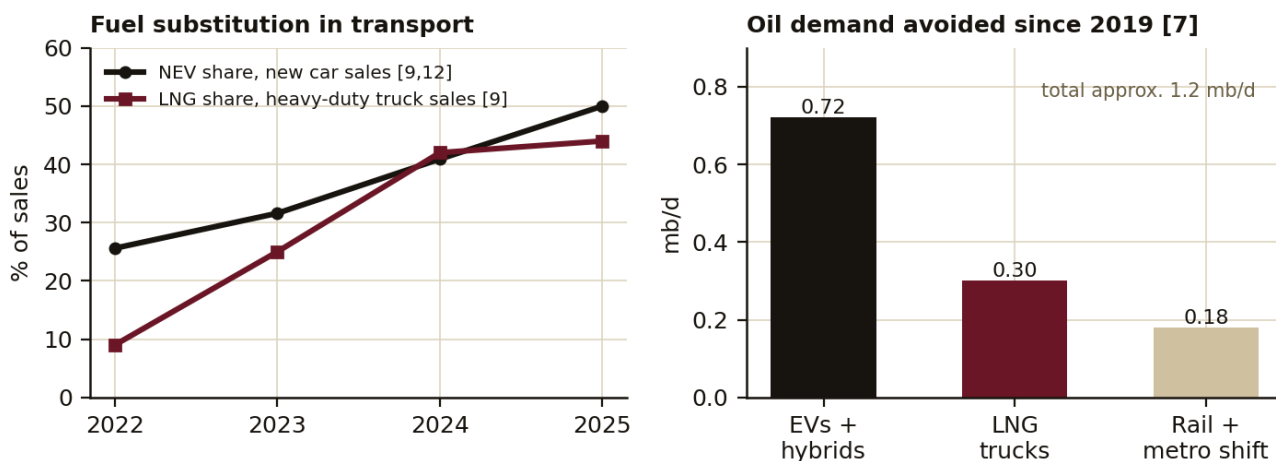


Figure 3. Left: substitution shares in vehicle sales [9,12]. Right: decomposition of avoided oil demand since 2019 [7]. Decomposition split is approximate.

3. The builds, quantified

EIA estimates China added an average of 1.1 mb/d to inventories in 2025; OIES puts it at 0.75 mb/d, within a published range of 0.4 to 1.1 [4,5]. Government-held stocks were about 360 million barrels in December 2025, with commercial stocks near 1.0 billion, and national oil companies have been directed since 2024 to hold emergency oil in commercial tanks, making the commercial layer a de facto second SPR [4]. The Energy Law, passed in November 2024 and effective January 2025, put corporate stockpiling into statute [5]. Against real consumption that was flat to falling, builds of this size were effectively all of China's marginal crude demand in 2024 and 2025, roughly 7 to 10% of headline imports.

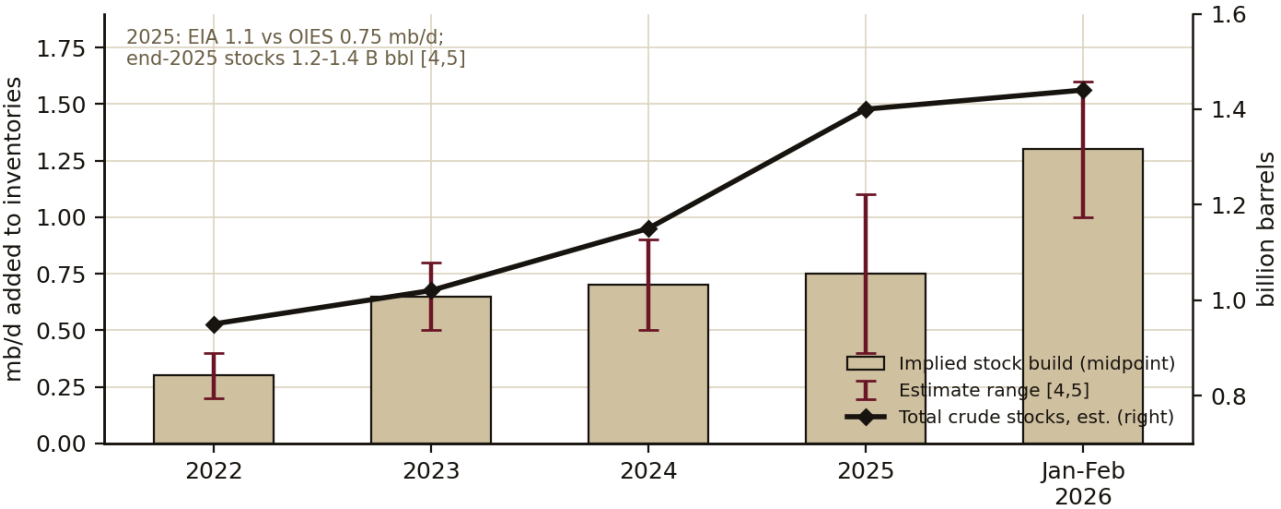


Figure 4. Implied annual stock builds with estimate ranges (bars, left axis) and estimated total crude stocks (line, right axis) [4,5,6]. Jan-Feb 2026 is a two-month annualized rate.

4. Timing against Project 2025

Mandate for Leadership was published in April 2023. Its energy chapter frames American oil exports as foreign-policy leverage that will, in its words, “provide tools for U.S. policymakers to assist our allies and deter our adversaries” [14]. The Western Hemisphere chapter argues for re-hemisphering energy supply away from distant suppliers it calls manipulable, and one passage names the five countries deserving the next administration’s attention and energy: China, Iran, Russia, Venezuela and North Korea [14,15]. Three of those five were China’s discounted crude suppliers, providing roughly 48% of Shandong independent refiner imports in 2025 [5]. A June 2024 Baker Institute testimony to Congress identified energy stockpiling as the classic strategic warning indicator of a state preparing for conflict [6]. The sequence of Chinese policy actions and the buildup itself track the US political timeline:

Date	Event	Reading
Apr 2023	Project 2025 published; five priority countries named [14,15]	The telegraph
Apr 2023	Diesel demand peaks at 4.7 mb/d, structural decline begins [8]	Real demand rolls over
2023	China absorbs 1+ mb/d of discounted, mostly Russian crude [16]	Opportunistic phase
2024	NOCs directed to hold emergency oil in commercial tanks [4]	Shadow SPR stood up
Nov 2024	Trump elected; Energy Law passed the same month [5]	Stockpiling codified
Jan 2025	Energy Law effective; US energy-dominance orders signed	Both sides commit
Jun 2025	12-day Israel-Iran air war; refiners buy nothing into the spike [17]	Reserve already deep
Nov 2025	Imports hit a 27-month record 12.43 mb/d; 1.88 mb/d to tanks [11]	Final acceleration
Jan 3, 2026	Maduro captured; Venezuelan flow rerouted to authorized channels	First supplier cut
Feb 15-20, 2026	Iran triples export rate days before the strikes [3]	Frontloading
Feb 28, 2026	War begins; Iran shuts Hormuz Mar 4; ~10 mb/d of exports lost [3]	The tail event
May 2026	Imports at 7.8 mb/d, a decade low; 74% of the global decline [1,2]	Reserve does its job

Table 1. Event sequence, April 2023 to May 2026.

5. The 2026 test

The war removed about 10 mb/d of Persian Gulf exports, the largest disruption on record [3]. China's response was to stop buying rather than bid for scarce barrels: imports fell 3.9 mb/d from February to May, which JPMorgan estimates was 74% of the entire global decline in crude trade [1]. Domestic Chinese product prices moved at roughly one fifth of Brent's volatility through the March spike [18]. Morgan Stanley called the import cut the single most important reason prices are not higher [2]. A demand cut of that size, absorbed without rationing, is direct evidence that the marginal import barrels of 2024-2025 were never consumption.

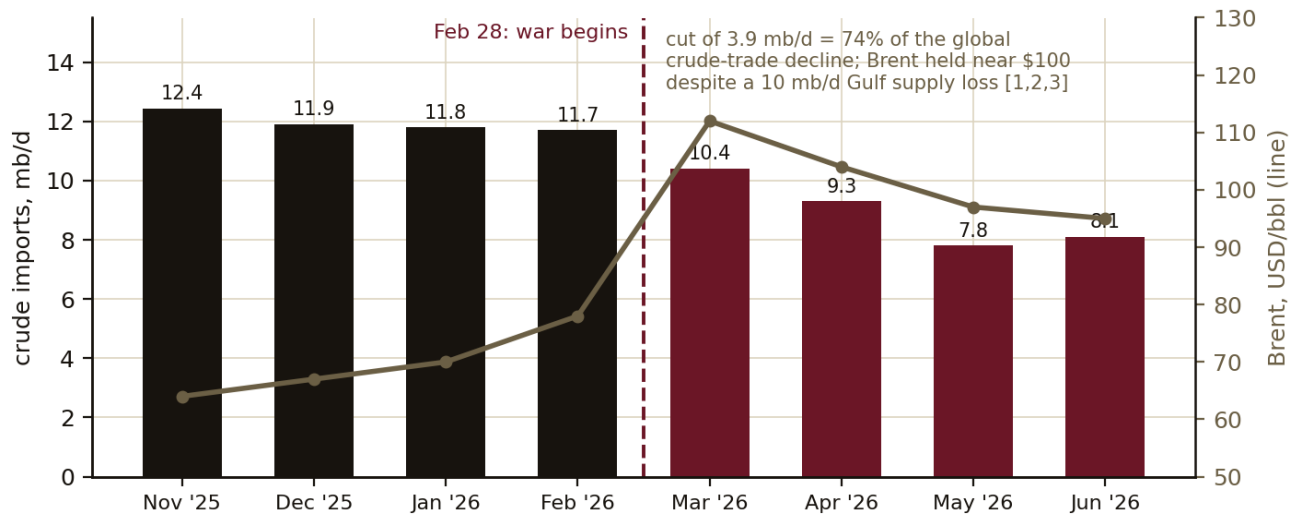


Figure 5. Monthly crude imports (bars) against Brent (line), November 2025 to June 2026. Nov, Feb and May values are reported [1,2,11]; other months are interpolated from reported trajectories.

6. Assessment

The stockpiling-inflated-demand mechanism is real and quantifiable: a wedge of roughly 1 mb/d that was effectively 100% of marginal import growth in 2024-2025, cumulating to an estimated 0.9 to 1.0 billion barrels since 2022 against total-stock estimates of 1.2 to 1.4 billion. The timing correlation with Project 2025, the election and the Energy Law is strong. The defensible attribution is general war-proofing against the world Project 2025 described (sanctions risk, supplier decapitation, Taiwan optionality) rather than specific foreknowledge of the Venezuela or Hormuz operations. Beijing hedged the distribution of outcomes; the tail event happened.

Two caveats bound the bullish read. First, the 1.4 billion barrels nominally cover about 120 days of imports but only 60 to 90 days of working stock before refiners cut runs to protect tank minimums [3]. Second, the import cut was not purely voluntary: the blockade and the US counter-blockade physically removed the discounted barrels. Both imply eventual import snap-back plus mandatory restocking demand once the strait normalizes, a structural support for crude into 2027.

7. Method notes

China publishes no oil inventory data. Curves in Figure 1 are quarterly reconstructions: apparent demand is imports plus domestic production; true consumption is apparent demand minus implied stock change, where the stock change is bounded by published estimates (2025 range 0.4 to 1.1 mb/d; OIES 0.75, EIA 1.1). The wedge shown is toward the upper bound of that range, and monthly 2026 values other than reported anchors are interpolated. Figures are illustrative of cited anchors, not official statistics. Where estimates conflict, both are shown or the range is stated.

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